

New Client Onboarding – Suitability Questionnaire Review Procedure

Sample enterprise SOP for workflow-extraction testing

1. Purpose and Scope

This procedure governs the review of suitability information submitted during new-client onboarding. The review considers the client's investment objectives, stated risk tolerance, requested products or strategies and relevant eligibility or regulatory constraints. The outcome is documented as part of the client's onboarding record.

2. Client Submission

The client provides a completed risk and suitability questionnaire together with the information requested by the onboarding process. Responses can include structured selections as well as free-text explanations describing investment objectives, experience, preferences and circumstances. The onboarding team associates the submission with the correct client record and makes the available information accessible to the reviewing function.

3. Completeness Review

The reviewer first checks whether the required information has been provided. Missing responses, unclear answers or unavailable supporting documents are identified before the suitability assessment is finalized. Where clarification is necessary, the reviewer follows the firm's established process for requesting additional information from the client or onboarding team.

4. Investment Objective Assessment

The reviewer considers the client's stated objectives and requested investment approach. The information is assessed in combination rather than as isolated questionnaire fields. The reviewer considers whether the requested strategy appears consistent with the objectives and circumstances recorded in the onboarding materials.

5. Risk Tolerance Assessment

The client's stated risk tolerance is reviewed against the characteristics of the requested investment products or strategies. The reviewer considers the interaction between the client's responses and the requested exposure. A conservative risk profile combined with a request for substantial leverage, for example, may require additional investigation rather than an automatic approval or rejection.

6. Regulatory and Internal Constraints

The reviewer checks applicable regulatory and internal eligibility requirements. Depending on the product, these may include investor classification, accreditation or other eligibility conditions. The relevant requirements may be maintained across policy documents, product rules and onboarding procedures, requiring the reviewer to identify the provisions applicable to the specific case.

7. Inconsistency Identification

Responses are examined for contradictions or combinations that require further attention. Inconsistencies may arise between risk tolerance and requested leverage, between stated objectives and requested products, or between client information and supporting documentation. The presence of an inconsistency does not automatically establish that the client is unsuitable; it creates an issue that must be evaluated and, where appropriate, clarified.

8. Clarification and Supporting Evidence

Where information is ambiguous or contradictory, the reviewer may request clarification or supporting evidence. New information is added to the onboarding record and considered alongside the original responses. The reviewer maintains a clear distinction between information supplied by the client and conclusions reached during the review.

9. Suitability Determination

After reviewing the available information, the reviewer reaches a suitability determination in accordance with the firm's policies. The conclusion is based on the applicable requirements and the evidence available in the case. Situations that fall outside standard guidance are escalated to the appropriate compliance or supervisory function.

10. Determination Memo

The reviewer prepares a suitability determination memo describing the client's relevant objectives and risk information, the requested strategy, material constraints or inconsistencies, additional information obtained and the reasoning supporting the conclusion. The memo is written so that a subsequent reviewer can understand the basis of the determination.

11. Approval and Record Retention

The completed review is submitted for any required human approval or sign-off. Once approved, the determination and supporting information are retained with the onboarding record under the firm's record-management requirements. Material changes to the client's circumstances may require a future suitability review under the applicable process.